the legality of the communication. A senior Tata official was quoted as saying that though there was some support for Mistry, Bhat was nominated in the ‘larger interests of the company’. ‘This is a clear win for the Tata Group and those interested in safeguarding the interests of stakeholders took the right decision,’ he added.

Taking Recourse to EGMs

Faced with a situation where Tata Sons was unable to remove Mistry from all the companies, the scene shifted from boardrooms to EGMs. On 16 November, Tata Sons issued two notices to Tata Chemicals under the Indian Companies Act, ‘signifying their intention to propose the candidatures of Mr Bhaskar Bhat and Mr S. Padmanabhan to the office of Director of the Company at the ensuing EGM’.

An unexpected development occurred on 17 November. Mistry sent a legal notice to TGBL on what he termed was his ‘illegal’ removal two days ago as chairman of the company. He had demanded a video recording of the proceedings of the board meeting. He was well within his right to do so.

The same day, TCS also fixed 13 December for its EGM. As part of the notice, TCS also included the special notice and requisition it had received from Tata Sons a week earlier. The notice said that after Mistry was replaced as chairman, Tata Sons, he had made ‘certain unsubstantiated allegations’ and ‘cast aspersions’ on ‘Tata Sons Limited and its Board of Directors’ and the ‘group as a whole, of which TCSL is an integral part’. It further stated that by making public its communication marked ‘confidential’, he had caused ‘enormous harm to the Tata group, TCSL and its stakeholders, including employees and shareholders’ and urged for his removal as director in the company.

On 21 November, the IHCL board met and fixed 20 December as its EGM date. The same day, the Tata Steel board also met to consider the special notice sent by Tata Sons to hold the EGM. As soon as the meeting began, Bhat made a request to Mistry: ‘We would request you to step down as the chairman. Please stay on the board, because we are conducting matters that concern you,’ recalls Hussain. He was supported by Bhatt, Robb and Mallika Srinivasan.

It was reiterated during the meeting that the board of directors of the company had on 20 May 2015 adopted the Tata Governance Guidelines.